# Village of Berrien Spring 2025-2026 Budget Review

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# A Review of the Village of Berrien Springs 2025–2026 Proposed Budget

Budgets are more than spreadsheets and tables of raw and projected data packaged into a document. Budgets are a tool to house critical accounting data, communicate priorities, evaluate performances, guide day-to-day operations, and offer a way to be transparent and accountable to the community. Drawing upon frameworks for budget analysis presented in Finkler, Smith, and Calabrese (2019), Generally Accepted Accounting Principles (GAAP), and the Government Finance Officers Association's (GFOA) recommended budgetary practices, this paper analyzes the proposed budget for the Village of Berrien Springs for fiscal year 2025–2026.

This paper uses criteria from Finkler et al. (2019), GASB/GAAP, and the GFOA—including the Distinguished Budget Presentation Award criteria and specific recommended practices on revenue forecasting and capital planning policies—to assess whether the Village of Berrien Springs' budget includes all necessary documents, communicates priorities effectively, and meets recognized best practice standards. Based on that analysis, the paper offers targeted suggestions for improvement.

## Budget Completeness

As financial documents go, the Village of Berrien Springs did an adequate job of including raw numbers, but fell short in providing context and reasoning. Within the budget are revenues and expenditures, as well as fund-level summaries. Total revenues and expenditures for the General Fund are listed as approximately $1.56 million and $1.50

million respectively, giving the Village an anticipated, modest surplus. This suggests that the proposed budget was likely balanced, which is considered best practice. There are two items that stick out in this budget, the first is the fact there was an over 40% increase in expenditures for the Local Street Fund to cover construction costs for Mechanic Street. The other was that the Shamrock Park Fund of over $719,000, which seems enormous for a village of this size. Even without an included mission, goals, or objectives, it is clear that this park project is a significant investment, and therefore a point of pride, for this community.

Furthermore, Menifield (2013) describes that financial documents have many key components including description and rationale, objectives, measures of success, and more (p. 48-49). Given that there are restricted, special revenue, capital project, debt service, and permanent funds in addition to the general fund, Berrien Springs also demonstrates that it understands the basics of governmental accounting and fund balance according to GASB Statement No. 54, Fund Balance Reporting and Governmental Fund Type Definitions (GASB, 2009).

While the budget includes many of the necessary accounting documents and financial data, there are areas where the budget could be improved. Among the most notable omissions from the budget package is a Capital Improvement Plan (CIP). According to GFOA (2013) best practice on Capital Planning Policies, governments should develop a multi-year capital improvement plan tailored to the unique needs of the area. As there is no CIP to review, it is unclear how the Village plans to budget for long-term infrastructure or other maintenance projects moving forward; a meaningful departure from recognized best practices.

**Budget Transparency and Best Practices: Revenue**

The Village of Berrien Springs has revenue coming from areas you would expect including property taxes, intergovernmental revenue, and fees associated with services provided. While this information as presented is adequate for a reader to know where the Village gets its income, the budget would benefit from narratives and details giving context to these revenue sources.

One way governments can demonstrate transparency and best practices is to provide explanations of their revenue forecasting methodology. According to the GFOA's (2012) Recommended Practice on Revenue Forecasting, governments should adopt a formal process when estimating revenue that includes documentation of historical trends, consideration of economic factors, and identification of potential revenue risks. The budget makes it clear what categories of revenue the Village expects but provides no insight into how these estimates were calculated. A lack of context limits the budget's usefulness as a planning tool and falls short of GFOA standards.

Budget Transparency and Best Practices: Expenditures

Based on the budget data, the majority of General Fund expenditures are going to core village functions such as administration and public works. Total expenditures for general government and administration payroll exceed $230,000, while public works and safety-related expenditures account for significant portions of the budget as well. The Village also plans on spending money on community events such as the famous Pickle Festival and parks programs.

While these allocations may be what taxpayers expect their local government to spend money on, there are no stated goals or performance measures to which expenditures can be compared. The GFOA's (n.d.-b) standards for their Distinguished Budget Presentation Award require budget documents to exemplify the characteristics of a policy document, meaning they must explicitly connect the budget to community priorities. But how can we know if spending is aligned to community priorities if there are no stated community priorities?

Finkler et al. (2019) emphasize this notion by suggesting that budgeters should not only analyze where money is spent, but also how efficiently and effectively it is spent, with a performance budget, for example (p. 89). If the Village of Berrien Springs were to adopt a program-based or performance-based budgeting methodology, it could easily illustrate how it is working to achieve desired outcomes. For small municipalities like Berrien Springs, this can be as simple as including one or two sentences describing each department's desired outcomes for the next fiscal year.

**Budget as a Communication Tool**

Although the budget allows readers to easily see where the Village of Berrien Springs plans to spend money during the next fiscal year, it is limited in how it communicates to readers why that spending is necessary. According to GFOA (n.d.-b), budget documents should serve four primary purposes: functioning as a policy document, a financial plan, an operations guide, and a communications device. While Berrien Springs' budget succeeds as a financial plan, it does very little to communicate to residents or even elected officials why spending is allocated as it is.

In his book Building a Better Budget Document, Fishbein (2013) describes the importance of a budget as a communications tool. A budget document is one of the most important vehicles through which a government communicates with its stakeholders. Budgets should be written with the reader in mind and provide enough context to help stakeholders understand complex financial decisions. Not only is the budget of Berrien Springs difficult to understand for the average reader, but it also provides no additional context to help readers understand why spending is necessary.

The budget provided does little to illustrate the Village's priorities or allocate funds accordingly. The document consists of several tables full of numbers with limited to no explanation. Granted, the budget may serve this purpose for Village staff who read it annually; however, it provides little information for anyone on the outside looking in. Stakeholders should be able to open a budget document and understand not only where their tax dollars are going, but also why those decisions were made. Without providing any context as to the Village's priorities, the budget falls short of GFOA standards.

An often-overlooked aspect of budget communication is accessibility. The Village of Berrien Springs' budget is publicly available on the Village website, which reflects a baseline level of transparency. However, the document fails to meet even basic accessibility standards in any meaningful way. Screen reader users will have difficulty navigating the budget due to the volume of numerical tables that lack descriptive labels or alternative text. While the budget may be easily interpreted by someone who reads it annually, it does not provide accessibility features for users who require simplified language, screen reader compatibility, or other assistive accommodations. The budget lacks basic search functionality, as the document was clearly scanned in and then uploaded as opposed to natively

uploaded from the original computer files. A budget is meant to communicate to everyone within the Village and should be designed as such. This is consistent with the GFOA's (n.d.-a) Transparency Initiative, which calls for financial information that is accessible and understandable to all citizens.

**Transparency and Accountability**

An important concept prevalent in both GAAP and many of the GFOA's budget best practices is transparency. The budget for the Village of Berrien Springs is fairly transparent as it relates to reporting financial data. Line items are grouped together in an understandable fashion, and fund categories are clearly defined. The bare minimum expectation is that the budget is posted to a public place for transparency, as that allows residents to see how tax dollars are being spent.

However, similar to the concerns regarding the budget's limited communication value, it lacks the meaningful context that would allow outsiders to gain a better understanding of financial decisions. Fishbein (2013) emphasizes this notion by stating that budgets should tell a story and help readers make a connection to the information being presented (p. 65). Not only does the budget lack a coherent narrative arc, but it also does not say anything meaningful about the Village's priorities or long-term direction.

According to the GFOA's (n.d.-a) Transparency Initiative, citizens should be provided with financial information that is easy to understand. If residents of Berrien Springs cannot understand their local budget, they cannot earnestly engage in the process, nor can they hold their local government accountable. A straightforward solution would be to

create a summary budget or a citizen's guide. Other municipalities of comparable size have created simple budget summaries that feature visual graphics displaying where tax dollars go while improving understanding and usability for its residents.

**Conclusion**

The Village of Berrien Springs demonstrates a foundational level of competency by posting their budget online and including the necessary financial documents. The General Fund is balanced, fund structures follow GASB Statement No. 54, and the document is publicly viewable. These are genuine strengths that reflect responsible fiscal stewardship for a small municipality with limited staff capacity. For small municipalities, gaps in best practice can be common due to limited administrative capacity; however, failure to address them can compound long-term planning challenges and reduce public trust.

However, if Berrien Springs wants a budget that is recognizable as a best practice document; one that could earn recognition under the GFOA's Distinguished Budget Presentation Award, there are several areas to address. The budget currently lacks any connection between expenditures and community goals, any performance measures or outcome-oriented objectives, any narrative context explaining the decisions made, a capital improvement plan, and meaningful accessibility for residents and other stakeholders. It also falls short of GFOA's accessibility and transparency standards in its current format.

Ultimately, a high-quality budget should do more than present financial data; it should tell a story about priorities, guide decision-making, and build public trust. By

incorporating a brief administrator's budget message, departmental narratives, a citizen's guide summary, performance indicators, and a multi-year capital plan, the Village of Berrien Springs could significantly strengthen its budget document. These improvements are achievable without major resource investment and would bring the Village into much closer alignment with the contemporary public finance standards the GFOA has established.

References


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